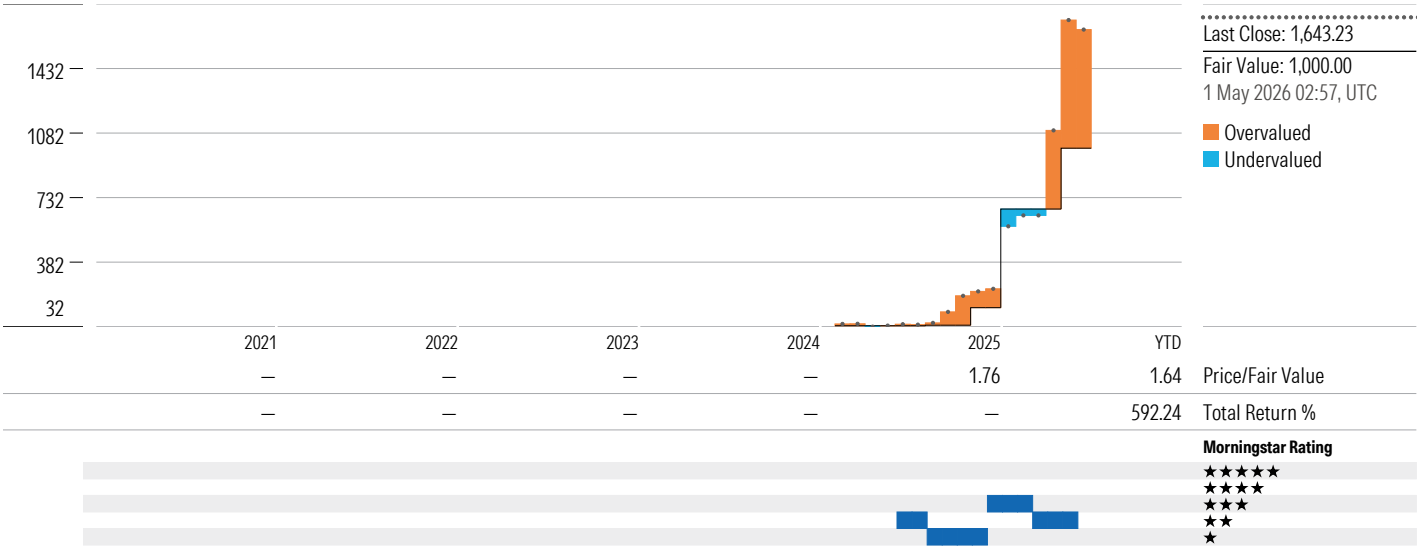
SanDisk Corp Ordinary Shares SNDK ★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
1,643.23 USD 10 Jun 2026	1,000.00 USD 1 May 2026 07:57, UTC	1.64	278.63 USD Bil 11 Jun 2026	None	Large Blend	Very High	Standard

Price vs. Fair Value



Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 1 May 2026 02:57, UTC.

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'The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Sandisk Earnings: Every Superlative Would Be Underselling It

Analyst Note William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

Sandisk reported blowout March-quarter results and June-quarter guidance. Prices rose more than 130% sequentially and more than 200% year over year. Revenue rose 250% year over year to $5.95 billion, and non-GAAP gross margin expanded 5570 basis points to 78.4%.

Why it matters: In the tight NAND supply environment, investors can be forgiven for doing a double-take. Supply expands slowly, while demand for artificial intelligence expands rapidly, leading to immense price growth for commodity-like chips. The current upcycle continues to exceed our expectations.

- Pricing is not just growing rapidly, it's accelerating. With growth coming entirely from pricing, incremental revenue is effectively pure profit, with Sandisk's year-over-year incremental gross margin at 100% in the March quarter. We see further room for margin expansion.
- We worry about long-term cyclicality. Management says this time is different and pointed to new long-term supply agreements. We're skeptical. We still expect prices to normalize over the longer term and believe the firm will be prone to significant margin compression and sales declines when they do.

The bottom line: We raise our fair value estimate for no-moat Sandisk to $1,000 from $670, driven by higher upcycle expectations. We still expect a precipitous downcycle in 2029, but our landing spot thereafter, at midcycle, is far higher than it was just three months ago. Shares look fairly valued.

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Sector Technology

Industry Computer Hardware

Business Description

Sandisk is one of the five largest suppliers of NAND flash memory semiconductors globally. Sandisk is vertically integrated, producing substantially all of its flash chips at manufacturing sites across Japan via a joint-venture framework with Kioxia. Sandisk then repackages most of its chips into SSDs for consumer electronics, external storage, or cloud storage. Sandisk was formerly a piece of Western Digital for nine years (after being acquired in 2016) and was spun off as an independent company in 2025.

- Sandisk has been the top performer in the S&P 500, rising more than 3,300% in the last 12 months and more than quadrupling year-to-date. This looks justified against massive pricing growth, but we caution long-term investors about downcycle risk when pricing turns over.
- We now forecast Sandisk's quarterly revenue to peak at $13 billion at the end of calendar 2027, with an 85% gross margin. There's more room to run. After a strong downturn, we think the firm can maintain structurally higher gross margins in the 50% range, up from the historical 30%.

Business Strategy & Outlook William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

We believe Sandisk is prone to market-driven cyclicality in memory chips and doesn't hold pricing power over its customers, which leads to low and volatile profitability. We consider NAND flash memory chips as a commodity and see high fungibility among flash chipmakers' offerings. In periods of tight supply and strong market pricing, Sandisk's profit margins can be robust. However, these periods are often followed by a glut of oversupply, which pressures pricing and can lead to profit compression. Our long-term expectations for cyclicality in the business and commodity, low-margin products inform our view that Sandisk doesn't hold an economic moat. We expect rising NAND demand over the medium term, but for supply/demand alignment to fluctuate, leading to market cycles for pricing.

We expect demand growth for Sandisk across memory cycles, with its sales largely driven by demand for PCs, smartphones, and to a lesser extent, cloud infrastructure. Flash technology has completely taken over consumer electronics like PCs, tablets, and smartphones. The majority of Sandisk's flash chips are packaged into solid-state storage drives for these consumer devices or into external SSDs for additional consumer data storage. We believe cloud buildouts form another driver, but we consider flash as a minority complement to larger and more cost-efficient hard disk drives for cloud storage today; Sandisk holds a weaker relative share in this section of the market. We don't expect flash to gain significant share over HDDs for cloud storage in the medium term, given the impressive cost-efficient evolution from HDD suppliers.

Finally, we note that Sandisk is a new company (spun off from Western Digital in February 2025) and expect our opinions of the management team and stand-alone operational performance to evolve over time. We assign considerable uncertainty to our expectations for operating expense management, given the firm's nascent state as a stand-alone company. We believe flash market dynamics will be Sandisk stock's most significant driver, but operating efficiency will be critical to adding investor value over time.

Bulls Say William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

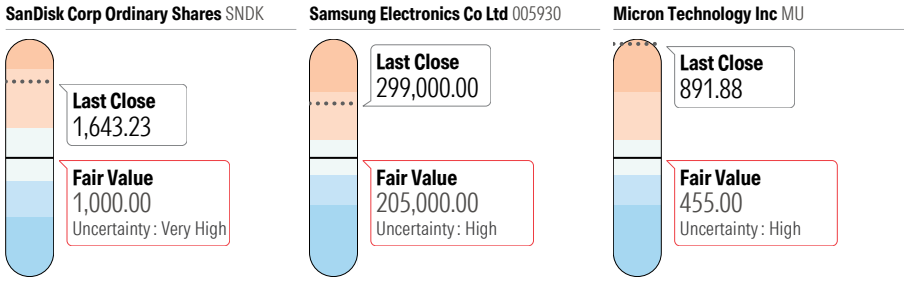
- Sandisk is investing to raise its market share in enterprise SSDs for cloud infrastructure, which we see as a higher-profit business and less tied to consumer device cycles.
- We expect demand for consumer devices to eventually rebound from cyclically low levels, which should

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Competitors



	SanDisk Corp Ordinary Shares SNDK	Samsung Electronics Co Ltd 005930	Micron Technology Inc MU
Economic Moat	None	None	None
Currency	USD	KRW	USD
Fair Value	1,000.00 10 Jun 2026 18:02, UTC	205,000.00 11 Jun 2026 07:11, UTC	455.00 9 Jun 2026 16:27, UTC
1-Star Price	1,750.00	317,750.00	705.25
5-Star Price	500.00	123,000.00	273.00
Assessment	Overvalued 11 Jun 2026	Overvalued 11 Jun 2026	Overvalued 9 Jun 2026
Morningstar Rating	★11 Jun 2026 21:21, UTC	★★11 Jun 2026 05:00, UTC	★9 Jun 2026 05:00, UTC
Analyst	William Kerwin, Senior Equity Analyst	Jing Jie Yu, Equity Analyst	William Kerwin, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard
Price/Fair Value	1.64	1.46	2.06
Price/Sales	18.91	4.52	17.39
Price/Book	17.60	4.17	13.88
Price/Earning	56.16	23.97	42.07
Dividend Yield	0.00%	0.56%	—
Market Cap	278.33 Bil	1,963,402.37 Bil	1,122.83 Bil
52-Week Range	39.44—1,895.00	56,900.00—370,000.00	103.38—1,089.29
Investment Style	Large Blend	Large Growth	Large Growth

help drive a good growth cycle for Sandisk.

- We believe Sandisk could be a good target for a merger or takeover by a competitor, which could both provide value to investors and improve profits with more of a cost advantage as a larger combined firm.

Bears Say William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

- Sandisk sells commoditylike NAND flash memory chips and offers little differentiation or pricing power, exposing it to volatile cyclicality.
- Sandisk lacks the scale of larger NAND chipmaker peers, which hurts its ability to extract profits over a high fixed cost base.
- Sandisk holds the lowest share among peers in the higher-profit enterprise SSD segment of the market.

Economic Moat William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

We don't believe Sandisk holds an economic moat. We view flash memory chips as commodities that

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don't command any pricing power, instead being governed by market supply/demand dynamics that determine pricing. Furthermore, flash chip manufacturing is incredibly capital-intensive, which weighs down returns on invested capital. We believe Sandisk can earn positive economic returns for short periods in a strong market cycle, but don't believe these are durable over the long run.

NAND flash chips are commodities in our view and we see no pricing power for Sandisk. Every flash chipmaker will tout different specifications as advantages over the competition (layer counts, memory density, and so on) but we see virtually no differentiation between competitors. That isn't to say flash memory isn't complex, but that the seven major suppliers all match each other's development stride for stride. Additionally, we don't see it as complex enough to ward off new entrants. We point to YMTC's entrance to the market and quickly taking share as a prime example of using a large capital infusion to rapidly catch up technologically. This technological fungibility results in market-driven pricing dynamics. When demand slows versus producer expectations and there's an oversupply of chips in the market, prices fall and drive down supplier revenue and profits. We saw this most recently with the precipitous downturn in 2023. This lack of pricing power and subsequent cyclicality erodes our confidence in durable economic returns for Sandisk.

Flash chipmaking is also a capital-intensive process, which weighs on Sandisk's ability to extract economic returns. We estimate Sandisk committing roughly 10% of revenue toward capital expenditure (between cash capital expenses and loans to its joint venture with Kioxia) over the course of a cycle. We also expect it to continue investing more than 10% of sales in research and development over our forecast. Combined, this high level of organic investment weighs on Sandisk's economic returns. We don't expect Sandisk to earn cumulative economic profits over the course of a cycle. Significant capital investment alone isn't enough to erode a moat—we point to vertically integrated logic chipmakers that offer attractive and consistent returns on invested capital as a key example. However, when significant investment requirements are paired with commodity pricing, low profitability, and volatile cyclicality, we don't believe in durable economic returns.

Finally, we see competitive dynamics differing very little across Sandisk's end-market exposures. While we see better profitability in enterprise SSDs that sell into data centers, we view these as similarly fungible across flash competitors. In addition, Sandisk has a relatively low share of these higher-margin enterprise drives and is much more concentrated in PC, mobile, and consumer markets, which we believe are the most commoditized.

Fair Value and Profit Drivers William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

Our fair value estimate for Sandisk is $1,000 per share. Our valuation implies a fiscal 2026 adjusted price/earnings multiple of 14 times and an enterprise value/sales multiple of 7 times. The greatest driver of our valuation is cyclical market pricing for NAND chips.

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We forecast 27% compound annual growth for Sandisk through fiscal 2030. Over this period, we expect close to 20% growth for NAND shipments. Pricing is much more volatile than our forecast. We expect astronomical growth above 100% in fiscal 2026 and close to 100% in 2027 as significant NAND supply shortages lead to skyrocketing market prices. AI infrastructure demand creates massive demand, while supply buildouts occur much more slowly. As a result, prices climb against a relatively fixed amount of supply.

We expect prices to rise close to 100% in fiscal 2026 and 2027, which is the core driver of revenue. This will benefit Sandisk greatly in the short term, but we doubt the durability of this tremendous pricing in the longer term, and expect this period of immense pricing to fade toward the end of the decade. In fiscal 2028, we expect the cycle to peak, with significant supply coming online from Sandisk and peers. We forecast a steep downcycle in fiscal 2029, with prices coming back to earth. Longer-term, past this immense cycle, we continue to view high-teens bit growth and low-teens pricing declines as normal. The key variable for investors to watch is pricing over this time. At midcycle, we see Sandisk as a mid-single-digit growth business, but midcycle appears years away during the current torrid upcycle.

We expect Sandisk's gross margin profile to fluctuate significantly with market NAND pricing, as Sandisk is a fixed-cost business. We expect gross margin to exceed 80% in fiscal 2027, driven by superb NAND pricing. Over this period, we forecast incremental gross margins above 90%, as pricing increases well exceed Sandisk's ability to build out new production capacity. Thereafter, we forecast compression, but we still forecast Sandisk to hold gross margins above 50% in 2030, well above our historical view of midcycle, closer to 30%.

We believe operating margin will rise and fall primarily with volatile gross margin and pricing. We forecast non-GAAP operating margin peaking close to 80% in calendar 2027, before falling back down to the 40% range in 2030, which remains exceptional compared with Sandisk's historical levels before the AI boom in the mid-teens.

Risk and Uncertainty William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

We assign a Very High Morningstar Uncertainty Rating to Sandisk, resulting from the cyclical volatility of the global NAND flash chip market. Historically, Sandisk has been exposed to periods of market oversupply that can pressure prices, revenue, and profitability. We expect this cyclicality to continue in the long term, even though the current upcycle is immense. In cyclical downturns, Sandisk can be exposed to harsh revenue declines and even steeper margin compression due to the firm's high fixed-cost base as a vertically integrated chipmaker. We point to 2023 as an example of how bad downturns can be for the firm, where revenue declined 37%, gross margin compressed 2600 basis points to 7%, and GAAP operating margin was negative 33%. Against the magnitude of the current upswing, the ensuing downswing could be even more severe.

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We also believe the rise of Chinese competitor Yangtze Memory Technologies poses an additional risk to Sandisk. A more fragmented supply base for flash likely means less efficient alignment between supply/demand and the potential for more frequent downturns. We already see worse profitability and more severe cyclicality in NAND flash (with six major suppliers) compared with DRAM memory chips (with only three major suppliers.) YMTC's rise in the Chinese market for flash also will likely weigh on Sandisk's growth opportunity as YMTC gains share among its domestic customers.

On the environmental, social, and governance front we see low risk for Sandisk, mostly arising from its manufacturing carbon footprint, which we see as modest relative to other industries.

Finally, Sandisk is a nascent stand-alone business and we believe operational risk creates uncertainty for investors. A lack of stand-alone operating history makes operating expense management a meaningful unknown in the future. Still, we like that former Western Digital CEO David Goeckeler, who formerly led the combined firm, is overseeing a business he knows well as Sandisk CEO.

Capital Allocation William Kerwin, CFA, Senior Equity Analyst, 1 May 2026

We assign Sandisk a Standard Capital Allocation Rating based on our assessments of a sound balance sheet, appropriate distributions, and fair investments. We note that Sandisk is a brand-new independent company with little stand-alone operating history. We believe organic growth over the course of cycles and gross margin are the most important drivers of shareholder returns. Sandisk's stated capital allocation priorities are to attain a net cash position and invest in organic growth.

Sandisk holds low net debt, and we expect it to service its future obligations with organic cash flow but likely remain leveraged into the long term to help offset cyclicality in its cash flow generation. We expect the firm to reach a net cash position in the next five years, but we're skeptical of management achieving such a milestone by its target of a year after the spinoff. We model it in year three post-spin. We like that the firm has no shareholder return policies immediately after the spinoff, given cyclical risks to cash flow in the future and a net debt position. We do expect opportunistic share repurchases to occur in future years.

We generally like Sandisk's investment strategy. We believe organic investment to maintain pace with NAND chipmaking competitors is the most important investment for the firm. We see little opportunities for bolt-on acquisitions but believe a merger with another large NAND peer could be beneficial for shareholders—if it were to pass antitrust approval—pending the price of the deal. Overall, we agree with the decision to spin off from Western Digital in 2025. We see no synergies between the NAND flash and HDD businesses, and believe Sandisk can maintain a more streamlined organization structure as a stand-alone company.

Analyst Notes Archive

Sandisk Earnings: Scotty, Engage Warp Speed for NAND Pricing Growth William Kerwin, CFA,Senior

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Equity Analyst,30 Jan 2026

Sandisk's December-quarter results and March-quarter guidance blew all expectations out of the water. December earnings doubled FactSet consensus estimates, while March-quarter earnings guidance is more than triple the consensus estimate. Why it matters: High demand for artificial intelligence infrastructure and relatively fixed NAND supply are driving prices through the roof. We expect supply constraints to endure until at least 2028, generating significant price, revenue, and margin growth for Sandisk. We currently expect this massive cycle to peak in 2028, with additional supply from Sandisk and peers coming online over the next three years. Until then, we expect pricing, growth, and profitability to be eye-watering. The bottom line: We raise our fair value estimate for no-moat Sandisk to $670 per share, from $135, as we integrate a more aggressive pricing forecast through 2028. Shares rose 20% on the print, and look fairly valued to us at our new valuation. We also raise Sandisk's Uncertainty rating to Very High, from High, given the extreme sensitivity valuation has to volatile NAND pricing. Memory cycles can turn on a dime. It isn't a question of demand, but the ratio of supply to demand. The moment supply exceeds demand, pricing can crater. We doubt that "this time is different" as we've seen memory chipmakers overbuild during upcycles in the past. Bulls say: Pricing growth can accelerate further from here. NAND chips are becoming increasingly critical to AI model efficiency, driving even further demand growth. Even with supply builds, NAND could remain undersupplied through the end of the decade. Bears say: Too much supply getting built, or any correction in AI demand, could implode current NAND pricing. Factoring in long-term cyclicality could make the current impressive results mercurial and merely speculative for long-term investors.

Sandisk Earnings: Immense Pricing Cycle Drives Our Valuation Higher, but Shares Unreachable

William Kerwin, CFA,Senior Equity Analyst,7 Nov 2025

Sandisk's September-quarter results crushed guidance, with sales rising 23% year over year to $2.3 billion. December-quarter guidance was even more impressive, calling for 13% sequential sales growth and 1,200 basis points of sequential gross margin expansion.Why it matters: Guidance blew our model out of the water. Sandisk is benefiting from an immensely positive NAND pricing cycle, which is driving terrific results. We'd expected a short-term upcycle, but the magnitude of the cycle appears far greater than what we'd modeled. NAND storage is in short supply, largely due to immense data center infrastructure demand, spurred by artificial intelligence. This is driving more demand for flash storage than is supplied in the market, driving prices higher for commodity NAND chips. High pricing boosts Sandisk's sales and profitability. Guidance for 42% non-GAAP gross margin is well above our estimate of midcycle for the firm, and we believe margins have even more room to expand. We expect supply to remain constrained through calendar 2026, buoying prices further. The bottom line: We raise our fair value estimate for no-moat Sandisk to $135 per share, from $40, as we bake in a significantly stronger upcycle in the next two years. With the stock having quadrupled since August, we still see shares as

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overvalued. Sandisk stock has soared in the past three months, as news of NAND supply shortages has proliferated. Shares rose only modestly off of immense December guidance, indicating most of this was already baked in. Long-term cyclicality keeps us on the sidelines. We see excess optimism over the durability of strong pricing baked into shares. NAND remains a commodity, and we expect supply and demand to come back into balance over the long term, bringing prices, growth, and profits back down to earth.

Sandisk Earnings: We Raise Our Short-Term Pricing Forecast and See Continuing Upcycle William Kerwin, CFA,Senior Equity Analyst,15 Aug 2025

Sandisk's June-quarter results beat guidance on the top and bottom lines. Revenue rose 8% year over year and 12% sequentially to $1.9 billion, while non-GAAP gross margin rose 370 basis points sequentially to 26.4%. Guidance calls for sequential sales growth and margin expansion. Why it matters: Sandisk's revenue growth and margin expansion reflect a continued climb out of a downturn in 2023 and 2024. Profit guidance slightly missed our model, due to higher investment in new capacity in fiscal 2026. Growth and growth guidance beat our expectations. Sandisk is facing a roughly 300-basis-point margin headwind next quarter as it ramps up a new manufacturing facility. We see this as a short-term investment for long-term growth, and see underlying profitability registering at healthy midcycle levels. We see a continued period of NAND industry undersupply in calendar 2025 and into 2026, which is boosting Sandisk's pricing, growth, and profits. We believe this will be short-term, but a positive dynamic for Sandisk over the next 18 months. The bottom line: We raise our fair value estimate for no-moat Sandisk to $40 from $37 after raising our near-term pricing and growth forecasts. We still see cyclicality and normalized pricing declines in the longer term. Shares look fairly valued after selling off after-hours. Shares dropped as much as 10% after-hours on weaker-than-expected profit guidance. We like the market pricing in more reasonable profits and a more reasonable valuation at current levels. We still see good underlying profitability and like Sandisk's position in a near-term cyclical upswing. We expect strong growth and margin expansion through fiscal 2027 for Sandisk as it enjoys good demand and high pricing in an upcycle. In the longer term, we expect more volatile pricing swings, like we saw with the steep downcycle in 2023. This informs our no-moat rating on the firm.

Sandisk Earnings: We See Growth Beyond Short-Term Pricing Correction and Shares Look Fully Valued William Kerwin, CFA,Senior Equity Analyst,8 May 2025

Sandisk's March-quarter revenue declined 1% year over year and 10% sequentially to $1.7 billion, and non-GAAP gross margin declined nearly 1,000 basis points sequentially to 22.7%. Guidance calls for sequential improvements to sales and margin, with midpoints of $1.8 billion and 26.3%, respectively. Why it matters: While better than our expectations, Sandisk's results reflect weak NAND pricing in the quarter. We agree with management's view that this is a short-term period of oversupply in the middle of a broader cyclical upswing, and expect improving results into 2026. Even as we expect growth during

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SanDisk Corp Ordinary Shares SNDK ★ 11 Jun 2026 21:21, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation
1,643.23 USD 10 Jun 2026	1,000.00 USD 1 May 2026 07:57, UTC	1.64	278.63 USD Bil 11 Jun 2026	None	Large Blend	Very High	Standard

the coming quarters, Sandisk's results remain well below peak levels from 2021. We don't expect a return to peak revenue, given lower pricing. We expect gross margin to return to the 30% range in 2026. This quarter and the past couple of years for Sandisk show the volatility of the NAND market. Sandisk must adhere to market pricing for commoditized NAND chips, and periods of market overcapacity erode revenue and profitability. We expect NAND pricing to remain cyclical in the long run. The bottom line: We maintain our $37 fair value estimate for no-moat Sandisk, and our long-term forecast is largely unchanged. We continue to see a constructive demand environment in the short term, with cyclicality enduring in the long term. Shares look fairly valued to us. Shares are down nearly 40% from mid-March, with the market coming into line with our less optimistic valuation. We believe this midcycle pricing correction has helped to moderate myopic optimism during a broader cyclical upswing that we see as short-term against long-term cyclicality. We model 12% sales growth in fiscal 2026 with market undersupply that supports stable pricing. Thereafter, we expect a return to normalized midcycle dynamics with double-digit price declines offset by high-teens bit shipment growth, equating to low-single-digit medium-term growth.

Sandisk: We Launch Coverage With $37 Valuation and No-Moat Rating; Shares Look Expensive

William Kerwin, CFA,Senior Equity Analyst,27 Feb 2025

We initiated coverage of Sandisk, which recently spun off from Western Digital. Sandisk is the fourth-largest producer of NAND memory in the world, and packages substantially all of its NAND chips into solid-state drives, or SSDs, for data storage in consumer electronics and data centers. The bottom line: Our fair value estimate for Sandisk is $37 per share, and we assign the firm a no-moat rating, a High Uncertainty Rating, and a Standard Capital Allocation Rating. We see shares as overvalued, reflecting more optimistic margin assumptions through the course of a market cycle. Strong NAND demand and cyclical, market-driven pricing are the largest contributors to our valuation. We expect high-teens demand growth and low-double-digit pricing declines, annually, over our five-year forecast. We expect through-cycle gross margins to remain around 30%. We don't expect Sandisk to structurally improve its margin through cycles, with no pricing power and rapid cost reductions at peers. To assume margin expansion, Sandisk would have to develop a cost advantage or technological supremacy over peers, which we don't see at any NAND vendor. Big picture: NAND is a commodity, and neither Sandisk nor its peers earn pricing power over each other. At the same time, it requires significant capital investment to produce and keep pace with peers. Combined, these lead to low, cyclical profitability and inform our no-moat rating.

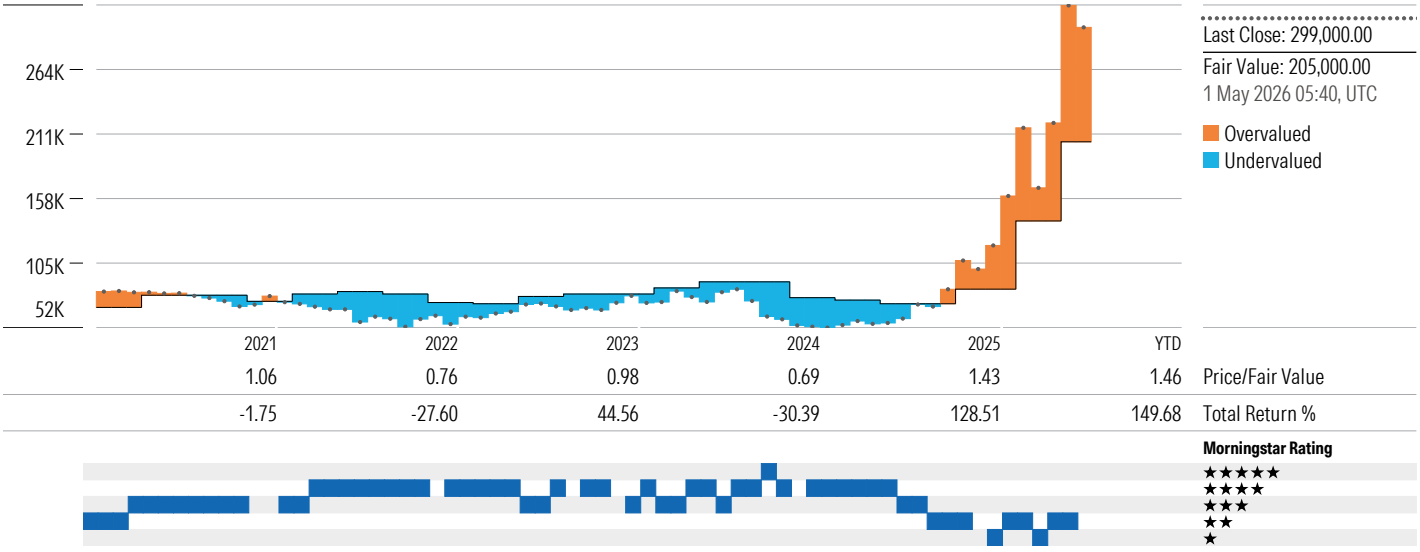
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Competitors Price vs. Fair Value

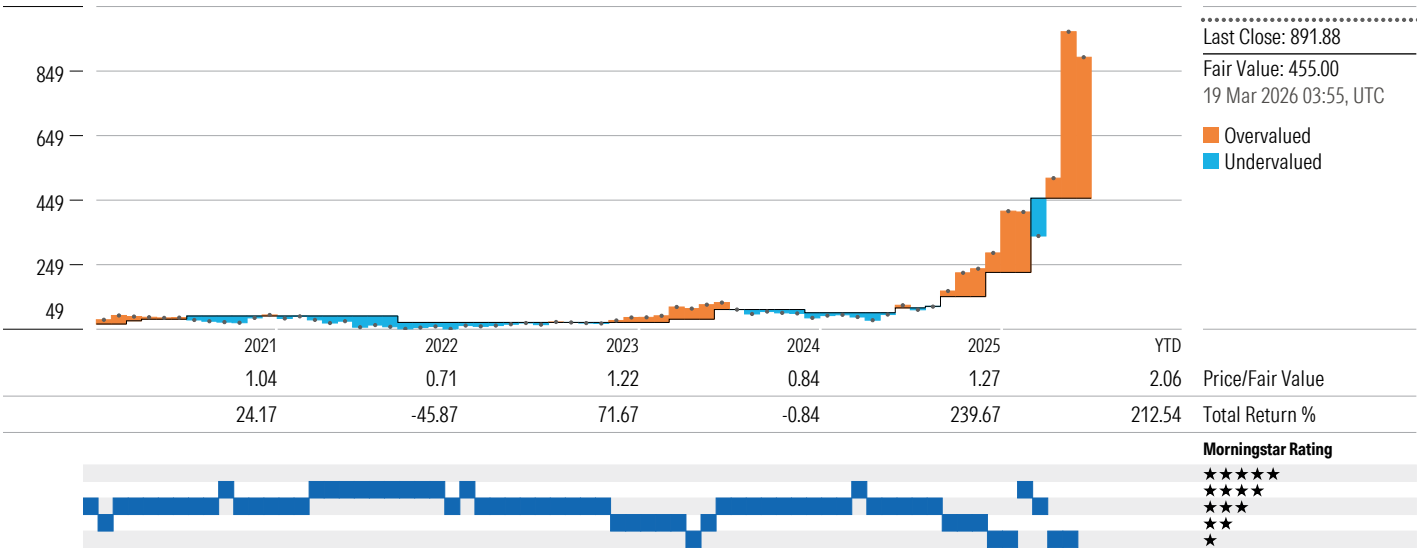
Samsung Electronics Co Ltd 005930



	2021	2022	2023	2024	2025	YTD	
	1.06	0.76	0.98	0.69	1.43	1.46	Price/Fair Value
	-1.75	-27.60	44.56	-30.39	128.51	149.68	Total Return %

Total Return % as of 11 Jun 2026. Last Close as of 11 Jun 2026. Fair Value as of 1 May 2026 05:40, UTC.

Micron Technology Inc MU



	2021	2022	2023	2024	2025	YTD	
	1.04	0.71	1.22	0.84	1.27	2.06	Price/Fair Value
	24.17	-45.87	71.67	-0.84	239.67	212.54	Total Return %

Total Return % as of 10 Jun 2026. Last Close as of 10 Jun 2026. Fair Value as of 19 Mar 2026 03:55, UTC.

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Morningstar Valuation Model Summary

Financials as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (USD Mil)	6,086	6,663	7,355	19,735	45,933	46,461	24,880	23,885
Operating Income (USD Mil)	-1,295	-444	507	11,836	36,404	34,332	12,760	11,446
EBITDA (USD Mil)	-1,587	-244	-1,214	11,938	36,554	34,531	12,978	11,676
Adjusted EBITDA (USD Mil)	-661	-87	852	12,239	36,822	34,847	13,318	12,016
Net Income (USD Mil)	-2,143	-672	-1,641	10,115	28,979	27,322	10,064	9,013
Adjusted Net Income (USD Mil)	-1,224	-502	434	10,455	29,179	27,578	10,344	9,293
Free Cash Flow To The Firm (USD Mil)	-1,866	-1,976	-1,145	7,911	26,250	28,073	12,086	8,636
Weighted Average Diluted Shares Outstanding (Mil)	144	144	145	145	144	142	141	141
Earnings Per Share (Diluted) (USD)	-14.88	-4.67	-11.32	69.87	201.80	192.58	71.35	63.90
Adjusted Earnings Per Share (Diluted) (USD)	-8.50	-3.49	2.99	72.22	203.19	194.38	73.34	65.88
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

Margins & Returns as of 30 Apr 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	-19.7	-21.3	-6.7	6.9	60.0	79.3	73.9	51.3	47.9	62.2
EBITDA Margin %	—	-26.1	-3.7	-16.5	60.5	79.6	74.3	52.2	48.9	—
Adjusted EBITDA Margin %	—	-10.9	-1.3	11.6	62.0	80.2	75.0	53.5	50.3	64.2
Net Margin %	-22.5	-35.2	-10.1	-22.3	51.2	63.1	58.8	40.5	37.7	50.3
Adjusted Net Margin %	-7.2	-20.1	-7.5	5.9	53.0	63.5	59.4	41.6	38.9	51.3
Free Cash Flow To The Firm Margin %	-25.3	-30.7	-29.7	-15.6	40.1	57.2	60.4	48.6	36.2	48.5

Growth & Ratios as of 30 Apr 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	—	—	9.5	10.4	168.3	132.8	1.2	-46.5	-4.0	26.6
Operating Income Growth %	—	—	-65.7	-214.2	2234.5	207.6	-5.7	-62.8	-10.3	86.5
EBITDA Growth %	-256.8	—	-84.6	397.5	-1083.4	206.2	-5.5	-62.4	-10.0	5.7
Adjusted EBITDA Growth %	—	—	-86.8	-1079.3	1336.5	200.9	-5.4	-61.8	-9.8	69.8
Earnings Per Share Growth %	—	—	-68.6	142.5	-717.4	188.8	-4.6	-62.9	-10.4	—
Adjusted Earnings Per Share Growth %	—	—	-59.0	-185.8	2315.5	181.3	-4.3	-62.3	-10.2	—

Valuation as of 30 Apr 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	—	—	15.2	26.1	9.3	9.7	25.7	28.6
Price/Sales	—	—	0.9	14.1	6.1	6.0	11.2	11.7
Price/Book	—	—	0.7	14.5	5.9	3.8	3.3	2.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	—	—	8.5	22.5	7.5	7.9	20.7	22.9
EV/EBIT	—	—	14.3	23.2	7.6	8.0	21.6	24.0
Dividend Yield %	—	—	—	—	—	—	—	—
Dividend Payout %	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 30 Jun	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	-5.0	-12.6	48.4	60.4	37.2	12.0	9.7	0.0
ROE %	-6.1	-17.8	53.7	63.3	38.4	12.4	10.0	0.0
ROIC %	6.1	11.5	78.6	175.4	146.8	57.8	53.9	—

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 30 Jun	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	—	—	23.7	0.0	0.0	0.0	0.0	0.0
Assets/Equity	—	1.2	1.4	1.1	1.0	1.0	1.0	1.0
Net Debt/EBITDA	0.0	-2.7	-0.5	-0.6	-0.9	-1.7	-5.3	-6.7
Total Debt/EBITDA	0.0	-11.3	2.4	0.0	0.0	0.0	0.0	0.0
EBITDA/ Net Interest Expense	20.0	-2.5	8.4	79.5	368.2	348.5	133.2	120.2

Forecast Revisions as of 30 Apr 2026	2026		2027		2028	
Prior data as of 30 Jan 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	1,000.00	670.31	—	—	—	—
Revenue (USD Mil)	19,735	16,807	45,933	36,206	46,461	34,757
Operating Income (USD Mil)	11,836	8,390	36,404	25,286	34,332	20,978
EBITDA (USD Mil)	12,239	8,751	36,822	25,655	34,847	21,423
Net Income (USD Mil)	10,455	7,368	29,179	20,285	27,578	16,895
Earnings Per Share (Diluted) (USD)	69.87	48.56	201.80	138.52	192.58	114.75
Adjusted Earnings Per Share (Diluted) (USD)	72.22	50.81	203.19	139.90	194.38	116.52
Dividends Per Share (USD)	0.00	0.00	0.00	0.00	0.00	0.00

Key Valuation Drivers as of 30 Apr 2026

Cost of Equity %	9.2
Pre-Tax Cost of Debt %	6.5
Weighted Average Cost of Capital %	9.2
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	5.4
Stage II Investment Rate %	50.0
Perpetuity Year	10

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 30 Apr 2026

	USD Mil
Present Value Stage I	64,467
Present Value Stage II	13,233
Present Value Stage III	56,822
Total Firm Value	**134,522**
Cash and Equivalents	1,481
Debt	1,849
Other Adjustments	0
Equity Value	**134,154**
Projected Diluted Shares	145
Fair Value per Share (USD)	**1,000.00**

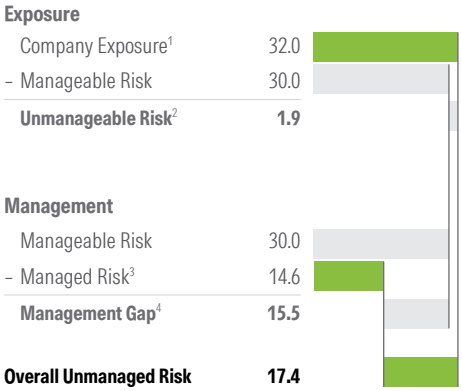
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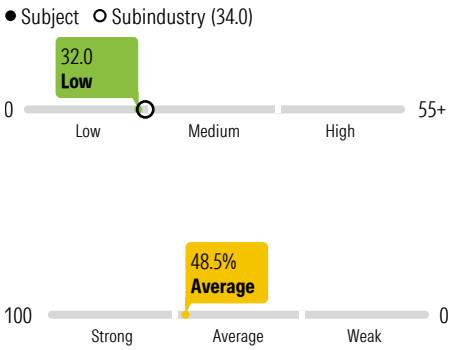
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ESG Risk Rating Breakdown





- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating is of Jun 10, 2026. Highest Controversy Level is as of Jun 08, 2026. Sustainalytics Subindustry: Technology Hardware. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 48.5% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 10 Jun 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
SanDisk Corp	32.0 | Low	0	55+	48.5 | Average	100	0	17.4 | Low	0	40+
Micron Technology Inc	51.8 | Medium	0	55+	67.7 | Strong	100	0	19.6 | Low	0	40+
Samsung Electronics Co Ltd	37.5 | Medium	0	55+	71.5 | Strong	100	0	12.6 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

SanDisk Corp Ordinary Shares SNDK 10 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★	★★	★★	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★	★	★	★	★★	★★	—	—	—	—	—	—
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

Samsung Electronics Co Ltd 005930 11 Jun 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★★	★★	★	★★	★★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
—	★★	★★	★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
—	★★★★	★★★★★	★★★★	★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
—	★★★★	★★★★	—	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	★	★	★★★	★★★★	★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★	★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★★

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

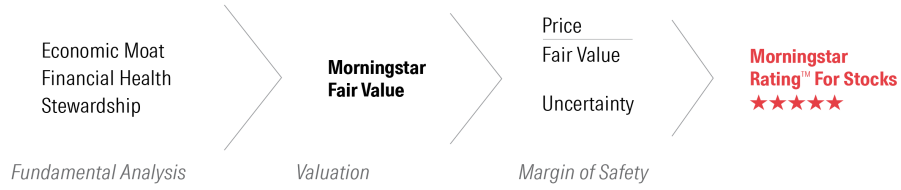
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

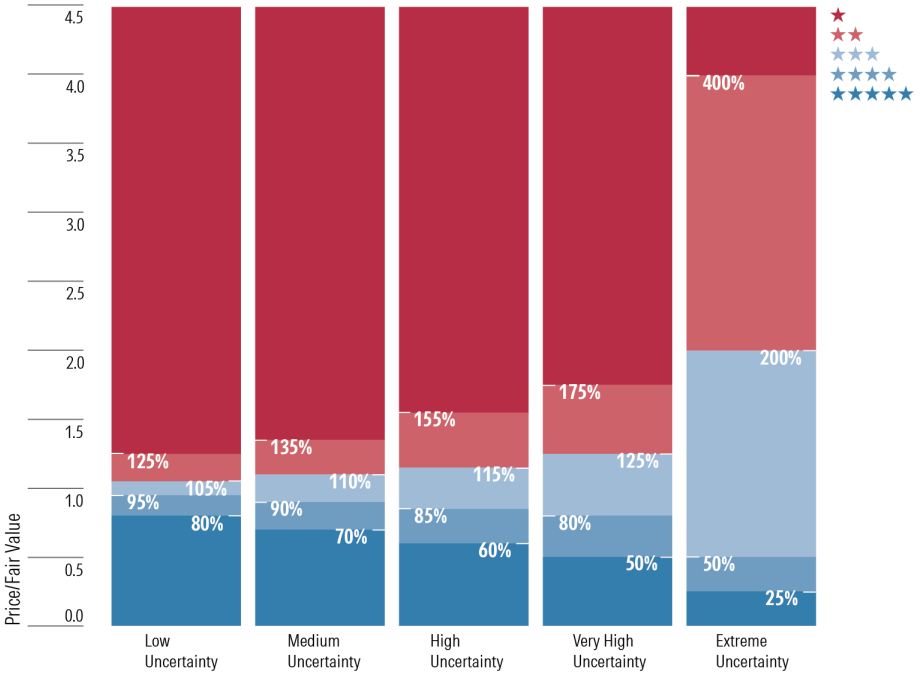
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

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Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

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